SOLVED PRACTICE WORKBOOK

Economy Topic 7: Solved Practice Workbook

Solved Practice Workbook

LEARNING PATH

CONCEPT
Define precisely

ARGUMENT
Build the case

CRITIQUE
Test the limits

APPLICATION
Write the answer

Deterministic fallback visual: move from precise concepts through argument and critique to exam application.

Source order: repository knowledge -> official current linkage -> clearly marked analysis. No fabricated PYQs or statistics.

CONTENTS / WORKBOOK INDEX

Major learning parts and meaningful subtopics are listed in document order. Page numbers are generated from the final PDF layout; PDF bookmarks mirror the same hierarchy.

Economy Topic 7 - Solved Practice Workbook

Current-law cutoff: 9 September 2026 **Use:** attempt each question before reading its option-specific explanation or model answer.

Exactly 32 original questions cover the whole topic. Correct options rotate A -> B -> C -> D eight times; all 128 options have question-specific explanations and every question has a unique examiner trap.

BASIC MCQS / REMEDIATION

MCQ 1

Which statement best distinguishes the money market from the capital market?

- A. The former primarily serves short-term funding; the latter serves medium/long-term debt and equity finance
- B. The former is only for government and the latter only for companies
- C. The former is risk-free and the latter always risky
- D. The former has no secondary trading

Answer: A.

Option-specific explanations:

- **A - Correct:** Tenor and financing purpose provide the basic classification while risk and issuer must be tested separately.
- **B - Incorrect:** Issuer identity does not determine the market; governments and firms can issue instruments across relevant segments.
- **C - Incorrect:** Maturity labels do not eliminate credit, liquidity, market or rollover risk.
- **D - Incorrect:** Several money-market instruments trade after issue through regulated venues or OTC channels.

Examiner trap 1: Do not equate short maturity with complete safety.

MCQ 2

In which transaction does the issuer ordinarily receive fresh funds?

- A. Purchase of an existing share from another investor
- B. Subscription to a newly issued security in the primary market
- C. Resale of a government bond on NDS-OM
- D. Transfer of a demat holding between beneficial owners

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The buyer's money ordinarily goes to the selling investor, not to the company.
- **B - Correct:** A primary issue creates and allocates a new claim, so the issue proceeds reach the issuer subject to any offer-for-sale component.
- **C - Incorrect:** Secondary G-Sec trading changes ownership but does not create a new government borrowing receipt.
- **D - Incorrect:** An ownership transfer is not a fresh issue merely because records change electronically.

Examiner trap 2: An offer for sale inside a public offer sends proceeds to the selling holder, not the company.

MCQ 3

Under RBI's dated definitions, call money is:

- A. Collateralised borrowing for up to fourteen days
- B. Unsecured borrowing exceeding fourteen days and up to one year
- C. Unsecured borrowing or lending on an overnight basis
- D. A Government of India discount security

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Collateralised borrowing is repo-type finance, not call money.
- **B - Incorrect:** That tenor defines term money rather than call money.
- **C - Correct:** The RBI Call, Notice and Term Money Markets Directions define call money specifically as unsecured overnight funds.
- **D - Incorrect:** That describes a Treasury Bill or Cash Management Bill, not an inter-institutional unsecured loan.

Examiner trap 3: The word `call` does not convert every overnight transaction into call money; collateralised repo remains distinct.

MCQ 4

Match the unsecured segment with its tenor:

1. Call money - overnight
2. Notice money - over one day and up to fourteen days
3. Term money - over fourteen days and up to one year

Which option is correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Notice and term money are also correctly matched to the RBI's explicit tenor boundaries.
- **B - Incorrect:** Term money is correctly stated as exceeding fourteen days and extending through one year.
- **C - Incorrect:** Call money is correctly matched with overnight unsecured borrowing and lending.
- **D - Correct:** All three matches follow the RBI Directions dated 1 April 2021 and updated 8 June 2023.

Examiner trap 4: Fourteen days belongs to notice money; term money begins beyond fourteen days.

MCQ 5

Which statement correctly describes a repo transaction?

- A. It is collateralised funding through sale and agreed repurchase of eligible securities
- B. It is an unsecured overnight interbank loan
- C. It permanently transfers the security with no reverse leg
- D. It is necessarily an RBI liquidity operation

Answer: A.

Option-specific explanations:

- **A - Correct:** Repo combines an initial sale with a future repurchase and is reverse repo from the cash lender's perspective.

- **B - Incorrect:** Absence of collateral characterises call money, whereas repo is securities-backed.
- **C - Incorrect:** The repurchase commitment is central to the transaction's financing character.
- **D - Incorrect:** Market repo exists separately from RBI's LAF and MSF operations under the 2025 Directions.

Examiner trap 5: Market repo and RBI policy repo share a legal form but not the same counterparty or purpose.

MCQ 6

Consider the following statements about TREPS:

1. It is a triparty-repo dealing system.
2. A triparty agent supports collateral and settlement services.
3. It is the same unsecured instrument as call money.

Which of the statements given above are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Statement 2 is integral to triparty repo because the third party manages specified collateral and operational functions.
- **B - Correct:** TREPS is the Indian triparty-repo system, with CCIL supporting central-counterparty clearing and settlement.
- **C - Incorrect:** Statement 3 is false because TREPS transactions are collateralised, unlike call money.
- **D - Incorrect:** The first two are correct, but the unsecured character asserted in statement 3 is incompatible with repo.

Examiner trap 6: The superseded CBLO label may appear in PYQs, but the current market mechanism is TREPS.

MCQ 7

Which statement correctly distinguishes Treasury Bills from Cash Management Bills?

- A. Both are coupon-bearing State Government securities
- B. CMBs are a standard 182-day instrument
- C. T-Bills use standard 91, 182 and 364-day tenors; CMBs mature in less than 91 days for temporary cash needs
- D. T-Bills are corporate promissory notes

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Both are Central Government discount instruments; states issue SDLs.
- **B - Incorrect:** A CMB has a non-standard maturity below 91 days rather than a regular 182-day tenor.
- **C - Correct:** The RBI G-Sec Primer separates the three standard T-Bill maturities from sub-91-day CMBs.
- **D - Incorrect:** Commercial Paper, not a Treasury Bill, is corporate unsecured promissory-note borrowing.

Examiner trap 7: CMB is not a fourth standard T-Bill tenor.

MCQ 8

Commercial Paper under RBI's 2024 Directions is:

- A. A secured government discount bill
- B. An equity share issued only through an exchange
- C. A deposit-insured bank account
- D. An unsecured money-market instrument issued as a promissory note

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Government discount borrowing is represented by T-Bills or CMBs, not CP.
- **B - Incorrect:** CP is debt and can be issued and traded under its money-market framework.
- **C - Incorrect:** CP is an issuer obligation and does not receive statutory bank-deposit insurance.
- **D - Correct:** The 3 January 2024 Directions define CP as unsecured promissory-note paper with a seven-day to one-year tenor.

Examiner trap 8: Credit rating and dematerialisation do not make CP secured.

MCQ 9

Consider the following pairs under the RBI Certificate of Deposit Directions dated 4 June 2021:

1. Minimum denomination - Rs 5 lakh
2. Issuance tenor for a bank CD - seven days to one year
3. Primary issue settlement - T+1

How many pairs are correctly matched?

- A. All three
- B. Only one
- C. Only two
- D. None

Answer: A.

Option-specific explanations:

- **A - Correct:** All three pairs match the RBI CD Directions; CDs must also be issued in dematerialised form.
- **B - Incorrect:** Both the tenor and primary-settlement pairs are also stated in the 2021 Directions.
- **C - Incorrect:** The denomination, tenor and T+1 primary issuance rules are all correctly paired.
- **D - Incorrect:** Each pair reproduces a distinct requirement of the current dated CD framework.

Examiner trap 9: A bank CD is negotiable and unsecured, but it is not an ordinary withdrawable savings deposit.

MCQ 10

Bills discounting and rediscounting are best understood as:

- A. Issue of an equity claim to existing shareholders
- B. Conversion of a trade receivable evidenced by a bill into finance before maturity
- C. Auction of a zero-coupon sovereign instrument
- D. Unsecured overnight borrowing between eligible banks

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That is a rights issue and has no underlying trade bill.
- **B - Correct:** The first discount gives the seller early funds; rediscounting lets the holder obtain liquidity against the bill.

- **C - Incorrect:** That describes T-Bill issuance rather than financing a commercial receivable.
- **D - Incorrect:** That describes call money, not a goods-backed payment claim.

Examiner trap 10: A commercial bill arises from trade, whereas a Treasury Bill evidences government borrowing.

MCQ 11

Which statement about Government securities is correct?

- A. States issue 91-day Treasury Bills through SEBI
- B. RBI is the debtor on every G-Sec it auctions
- C. The Union issues T-Bills and dated G-Secs, while States issue dated securities called SDLs
- D. Every G-Sec has zero coupon and less than one-year maturity

Answer: C.

Option-specific explanations:

- **A - Incorrect:** T-Bills are issued by the Government of India and auctioned by RBI.
- **B - Incorrect:** RBI acts as debt manager; the Central or State Government is the issuer and debtor.
- **C - Correct:** The RBI Primer distinguishes Central short-term and dated debt from State Development Loans.
- **D - Incorrect:** Dated securities generally carry coupons and have original maturity of one year or more.

Examiner trap 11: Sovereign issuer identity does not imply a fixed price in the secondary market.

MCQ 12

A fixed-coupon bond has face value Rs 100, annual coupon Rs 8 and market price Rs 80. Its current yield is:

- A. 8 per cent
- B. 12.5 per cent
- C. Cannot be calculated without maturity
- D. 10 per cent

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Eight per cent is the coupon rate because it divides coupon by face value.
- **B - Incorrect:** This reverses the required division and does not measure coupon income relative to market price.
- **C - Incorrect:** Maturity is required for YTM, but current yield needs only annual coupon and current price.
- **D - Correct:** Current yield equals annual coupon divided by market price: 8/80 multiplied by 100 equals 10 per cent.

Examiner trap 12: Current yield ignores redemption gain or loss and therefore is not YTM.

MCQ 13

Why does the price of an existing plain fixed-coupon bond generally fall when the market-required yield rises?

- A. Its fixed future cash flows are discounted at a higher rate
- B. Its face value automatically increases
- C. Its issuer necessarily defaults
- D. Its coupon is retroactively reduced

Answer: A.

Option-specific explanations:

- **A - Correct:** Discounted present value provides the mechanical basis of the inverse price-yield relationship.
- **B - Incorrect:** Contractual face value ordinarily remains fixed despite market-yield movement.
- **C - Incorrect:** Interest-rate movement can alter price without any change in default status.

- **D - Incorrect:** The coupon on a fixed-rate bond does not reset when market yields change.

Examiner trap 13: Credit-spread changes can move price too, so not every yield change is pure policy-rate risk.

MCQ 14

Modified duration is primarily used to approximate:

- A. The probability that the issuer will default
- B. The percentage bond-price change for a small change in yield
- C. The statutory maturity date of an equity share
- D. The number of coupon payments already received

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Credit analysis, not duration alone, evaluates default likelihood.
- **B - Correct:** Modified duration translates a small yield change into an approximate opposite-direction percentage price change.
- **C - Incorrect:** Equity has no contractual maturity and duration is a fixed-income sensitivity measure.
- **D - Incorrect:** Duration weights future cash-flow timing rather than counting historical coupons.

Examiner trap 14: Duration is a local sensitivity measure and becomes less exact for large or non-parallel yield moves.

MCQ 15

Arrange the following in the normal primary-auction sequence:

1. Allotment
2. Issue notification
3. Submission of bids
4. Determination of cut-off

Select the correct answer.

- A. 3 - 2 - 1 - 4
- B. 2 - 4 - 3 - 1
- C. 2 - 3 - 4 - 1
- D. 4 - 3 - 2 - 1

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Bids cannot properly precede the notification that specifies the issue and auction terms.
- **B - Incorrect:** The cut-off is derived after bids are received, not before submission.
- **C - Correct:** The issuer's notification opens the process, bidders submit, the auction determines a cut-off and securities are allotted.
- **D - Incorrect:** A cut-off cannot be determined before the issue is notified and bids are evaluated.

Examiner trap 15: Settlement follows allotment; it should not be inserted before price discovery.

MCQ 16

In a multiple-price government-security auction, a successful competitive bidder ordinarily:

- A. Always pays the weighted-average non-competitive price
- B. Pays one uniform cut-off price irrespective of its bid
- C. Receives securities without price or yield discovery
- D. Pays the price or yield that it bid

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The weighted-average outcome is associated with non-competitive allocation, not every competitive bid.
- **B - Incorrect:** That describes the uniform-price payment rule.
- **C - Incorrect:** Competitive bids actively contribute to the auction cut-off.
- **D - Correct:** Multiple-price or discriminatory allocation preserves each successful bid's own accepted price or yield.

Examiner trap 16: Price-based versus yield-based and uniform versus multiple are different classification axes.

MCQ 17

A non-competitive bidder in a government-security auction ordinarily:

- A. Accepts the auction-derived weighted-average price or yield without quoting one
- B. Sets the cut-off for all competitive bidders
- C. Receives a guaranteed capital gain
- D. Becomes a Primary Dealer

Answer: A.

Option-specific explanations:

- **A - Correct:** The non-competitive route broadens access by removing the need to quote a price or yield.
- **B - Incorrect:** Competitive bids, not non-competitive applications, discover the cut-off.
- **C - Incorrect:** Non-competitive access simplifies bidding but does not protect secondary-market value.
- **D - Incorrect:** Investor access does not confer dealer authorisation or underwriting obligations.

Examiner trap 17: Non-competitive means price-taking, not risk-free or allocation without scheme limits.

MCQ 18

Consider the following statements about Primary Dealers:

1. They support government-security auctions through bidding or underwriting obligations.
2. They support secondary-market liquidity through market making.
3. They guarantee that every G-Sec investor avoids market loss.

Which of the statements given above are correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** Market making is also a central dealer function in the secondary G-Sec market.

- **B - Correct:** RBI's PD framework joins primary-auction commitment with secondary market-making, not investor-return insurance.
- **C - Incorrect:** Underwriting is a primary-market role, while statement 3 invents a price guarantee.
- **D - Incorrect:** PD participation cannot eliminate interest-rate or liquidity loss for investors.

Examiner trap 18: RBI authorisation does not make a PD the sovereign issuer.

MCQ 19

Which statement correctly contrasts debt and equity?

- A. Equity always promises principal repayment at maturity
- B. Debt necessarily carries voting control over the company
- C. Debt creates a contractual creditor claim; equity is a residual ownership claim
- D. Both rank identically in insolvency

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Ordinary equity has no contractual maturity or promised principal repayment.
- **B - Incorrect:** Creditors may have covenants, but ordinary corporate voting ownership belongs to shareholders.
- **C - Correct:** The two claims allocate cash flow, control, priority and loss-bearing differently.
- **D - Incorrect:** Creditor and shareholder priority differ, subject to applicable insolvency law.

Examiner trap 19: A perpetual or convertible instrument may blur features but does not erase its contract.

MCQ 20

Match the attribute with the instrument:

1. Secured debenture - charge over specified assets
2. Unsecured debenture - relies on general issuer credit
3. Convertible debenture - may become equity under stated terms

Which option is correct?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: D.

Option-specific explanations:

- **A - Incorrect:** The unsecured and convertible descriptions are also correct and concern different dimensions.
- **B - Incorrect:** Convertibility is correctly described as a contractual route into equity.
- **C - Incorrect:** A secured debenture is correctly linked to a charge over specified assets.
- **D - Correct:** Security and convertibility are independent contractual axes, and all three pairs are correctly matched.

Examiner trap 20: Do not assume every debenture is secured or that conversion has already occurred.

MCQ 21

An Initial Public Offer differs from a Further Public Offer because:

- A. An IPO is the first public offer by an unlisted issuer; an FPO is by an already listed issuer
- B. An IPO can contain only an offer for sale
- C. An FPO is offered only to existing shareholders
- D. An FPO is necessarily a private placement

Answer: A.

Option-specific explanations:

- **A - Correct:** Issuer listing status at the time of the public offer supplies the core distinction.
- **B - Incorrect:** An IPO can include a fresh issue, an offer for sale, or both.
- **C - Incorrect:** A rights issue, not an FPO as such, is directed to existing holders on the record date.
- **D - Incorrect:** An FPO is a public offer by a listed issuer.

Examiner trap 21: Public-offer label alone does not show whether proceeds go to the company or selling holders.

MCQ 22

A rights issue primarily offers new securities to:

- A. Only Qualified Institutional Buyers
- B. Existing shareholders identified on the record date under the stated entitlement
- C. Any investor through an initial listing
- D. Only Primary Dealers

Answer: B.

Option-specific explanations:

- **A - Incorrect:** That restricted institutional route describes QIP, not a rights issue.
- **B - Correct:** Rights issues give existing holders a proportionate opportunity subject to the issue terms.
- **C - Incorrect:** Public subscription and first listing describe an IPO context.
- **D - Incorrect:** Primary Dealers specialise in government securities, not corporate shareholder entitlements.

Examiner trap 22: A right can lapse or be renounced where permitted; it is not compulsory purchase.

MCQ 23

Consider the following statements:

1. QIP is undertaken by a listed issuer.
2. QIP places eligible securities with Qualified Institutional Buyers.
3. Every private placement is a QIP.

Which of the statements given above are correct?

- A. 1 only
- B. 2 and 3 only
- C. 1 and 2 only
- D. 1, 2 and 3

Answer: C.

Option-specific explanations:

- **A - Incorrect:** QIB eligibility is an essential part of the QIP definition.
- **B - Incorrect:** Statement 1 is correct, while statement 3 wrongly converts a species into the entire genus.
- **C - Correct:** SEBI's ICDR framework defines QIP as a listed-issuer placement of eligible securities to QIBs.
- **D - Incorrect:** Private placement includes routes other than QIP, so statement 3 is overbroad.

Examiner trap 23: QIP, preferential issue and general private placement are not interchangeable labels.

MCQ 24

Which statement about exchange and OTC trading is correct?

- A. Every electronic trade is exchange-traded
- B. OTC means that no regulator or reporting rule applies
- C. A stock exchange performs final custody for every security
- D. An authorised electronic trading platform can still form part of an OTC market under the governing definition

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Technology does not determine the legal venue category by itself.
- **B - Incorrect:** RBI directions can regulate OTC execution, reporting and settlement.
- **C - Incorrect:** Depositories and settlement institutions perform distinct post-trade roles.
- **D - Correct:** RBI market directions define OTC broadly enough to include relevant electronic trading platforms outside recognised exchanges.

Examiner trap 24: Electronic, exchange-traded and centrally cleared describe different attributes.

MCQ 25

Novation by a central counterparty means that the CCP:

- A. Interposes itself as buyer to each seller and seller to each buyer
- B. Becomes the original issuer of the traded security
- C. Guarantees the security's market price
- D. Replaces the beneficial owner in the depository permanently

Answer: A.

Option-specific explanations:

- **A - Correct:** Novation standardises counterparty exposure and supports netting and default management.
- **B - Incorrect:** The security issuer remains unchanged after clearing.
- **C - Incorrect:** Settlement assurance does not remove price movement.
- **D - Incorrect:** Clearing interposition is not confiscation of investor ownership rights.

Examiner trap 25: Central clearing reduces bilateral risk but concentrates infrastructure risk.

MCQ 26

Delivery versus Payment chiefly reduces:

- A. Coupon-rate risk over the bond's life
- B. Principal risk from one leg settling without the corresponding cash or securities leg
- C. The issuer's business risk
- D. All operational and cyber risk

Answer: B.

Option-specific explanations:

- **A - Incorrect:** DvP addresses settlement exchange, not the level of future market yields.
- **B - Correct:** DvP conditions final securities delivery on corresponding funds delivery.
- **C - Incorrect:** Simultaneous settlement cannot repair issuer cash flows.
- **D - Incorrect:** Linked delivery reduces one risk channel but systems can still fail.

Examiner trap 26: DvP does not mean that trades cannot fail or investments cannot lose value.

MCQ 27

Under Depositories Act section 10, which statement is correct?

- A. The Depository Participant becomes the issuer
- B. Dematerialisation transfers economic ownership to SEBI
- C. The depository is registered owner for transfer purposes, while the beneficial owner holds substantive rights and liabilities
- D. The exchange permanently holds all investor securities

Answer: C.

Option-specific explanations:

- **A - Incorrect:** A DP is an investor-facing intermediary, not the company or government that created the security.
- **B - Incorrect:** SEBI regulates the market; it does not become owner of demat holdings.
- **C - Correct:** The statutory split enables electronic transfer while preserving the investor's beneficial ownership.
- **D - Incorrect:** Trading venue and custody records are separate functions.

Examiner trap 27: Registered owner in this context does not mean beneficial economic owner.

MCQ 28

Under RBI's NDS-OM Directions dated 7 February 2025 and updated 27 April 2026, consider:

1. Direct access settles in the participant's own SGL account.
2. Indirect access uses another entity that assumes settlement responsibility.
3. Stock Broker Connect can provide access to individual demat clients.

How many statements are correct?

- A. Only one
- B. Only two
- C. None
- D. All three

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Both indirect access and Stock Broker Connect are expressly defined in the updated directions.
- **B - Incorrect:** Each statement accurately describes a separate NDS-OM access route.
- **C - Incorrect:** The directions define all three mechanisms and their settlement relationships.
- **D - Correct:** All three statements reflect the expanded access architecture in the current dated NDS-OM Directions.

Examiner trap 28: NDS-OM access does not make the platform a depository or the investor a direct settlement member.

MCQ 29

Which regulatory map is most accurate?

- A. RBI leads money markets and G-Secs; SEBI leads public/listed securities markets and market infrastructure, with boundary coordination
- B. RBI regulates every debt security and SEBI regulates only shares
- C. SEBI issues Government of India securities
- D. Stock exchanges regulate banks' prudential capital

Answer: A.

Option-specific explanations:

- **A - Correct:** Statutes allocate functions by instrument, issuer, maturity, venue and activity rather than one debt-equity slogan.
- **B - Incorrect:** Corporate debt and short-term money-market debt can cross functional perimeters.
- **C - Incorrect:** The Government is issuer and RBI manages auctions under the public-debt framework.
- **D - Incorrect:** Bank capital regulation belongs to RBI, not an exchange.

Examiner trap 29: The same transaction chain can involve an issuer, RBI or SEBI, an exchange/ETP, a CCP and a depository.

MCQ 30

Consider the following statements about Indian equity cash-market settlement:

1. T+1 is the standard cycle.
2. Optional T+0 operates in addition to T+1 under SEBI's phased framework.
3. T+0 necessarily means instantaneous settlement of every equity trade.

Which of the statements given above are correct as at the 9 September 2026 cutoff?

- A. 1 only
- B. 1 and 2 only
- C. 2 and 3 only
- D. 1, 2 and 3

Answer: B.

Option-specific explanations:

- **A - Incorrect:** The optional T+0 route also exists under the dated SEBI framework.
- **B - Correct:** SEBI's 2024 framework retained T+1 and added optional T+0; the 30 October 2025 circular further extended QSB implementation timing.
- **C - Incorrect:** T+1 remains standard and T+0 is same-day rather than necessarily instantaneous.
- **D - Incorrect:** Statement 3 overstates both speed and universality of the optional route.

Examiner trap 30: The extension did not convert optional same-day settlement into universal real-time settlement.

MCQ 31

An upward-sloping government-security yield curve can reflect:

- A. A legal guarantee that economic growth will rise
- B. Only current credit default risk of the sovereign
- C. Expected future short rates and a positive term premium, among other demand-supply forces
- D. The coupon rates of existing bonds alone

Answer: C.

Option-specific explanations:

- **A - Incorrect:** Yield-curve shape is not a statutory or deterministic forecast.
- **B - Incorrect:** Inflation expectations, term premium, liquidity and bond supply also affect yields.
- **C - Correct:** A curve combines expectations, term premium, liquidity and supply-demand effects across maturities.
- **D - Incorrect:** Market yields respond to prices and expectations, not solely to printed coupons.

Examiner trap 31: Curve interpretation is conditional; inversion or steepness has no single universal cause.

MCQ 32

Which sequence best captures sound financial-market development?

- A. More products -> guaranteed returns -> no need for disclosure
- B. Higher turnover -> automatic inclusion -> zero systemic risk
- C. Shorter settlement -> elimination of funding and operational risk
- D. Access -> informed participation -> liquid price discovery -> resilient clearing -> productive capital formation

Answer: D.

Option-specific explanations:

- **A - Incorrect:** Product variety can increase complexity and never guarantees returns.
- **B - Incorrect:** Volume can be concentrated and leverage can amplify market stress.
- **C - Incorrect:** Compression reduces open exposure but raises intraday readiness demands.
- **D - Correct:** Depth, integrity and resilience must progress together for markets to mobilise savings productively.

Examiner trap 32: Account access or turnover alone is not evidence of welfare-enhancing inclusion.

PYQS AND ANSWER PRACTICE

Official-key discipline

- The five 2024-2025 questions below reproduce the locally held official-paper wording and Set-A keys.
- The seven 2018-2023 entries are neutral demand routes from the audited local routing ledger. The local

repository does not hold their official keys; therefore each answer is withheld rather than inferred.

- A modern note is added only where an old label would otherwise mislead. It never alters the official key.

PYQ 1 - UPSC Prelims 2024, Q40

Question: With reference to the Indian economy, "Collateral Borrowing and Lending Obligations" are the instruments of:

- (a) Bond market
- (b) Forex market
- (c) Money market
- (d) Stock market

Official Set-A answer: (c).

Solution: CBLO was a collateralised short-term funding instrument in the money market. For current answers, add that CBLO has been replaced by the Tri-Party Repo Dealing and Settlement mechanism, commonly called TREPS. The historical term in the question remains the term to classify.

Elimination: Collateralised liquidity borrowing is not equity, foreign exchange or long-term bond capital merely because Government securities may serve as collateral.

PYQ 2 - UPSC Prelims 2024, Q43

Question: In India, which of the following can trade in Corporate Bonds and Government Securities?

1. Insurance Companies
2. Pension Funds
3. Retail Investors

Select the correct answer using the code given below:

- (a) 1 and 2 only
- (b) 2 and 3 only
- (c) 1 and 3 only

- (d) 1, 2 and 3

Official Set-A answer: (d).

Solution: All three categories can participate, subject to their governing investment and access rules. Insurance and pension institutions are major debt investors. Retail access exists through intermediated routes and, for Government securities, RBI Retail Direct. Eligibility never means that all categories face identical prudential limits.

PYQ 3 - UPSC Prelims 2024, Q44

Question: Consider the following:

1. Exchange-Traded Funds (ETF)
2. Motor vehicles
3. Currency swap

Which of the above is/are considered financial instruments?

- (a) 1 only
- (b) 2 and 3 only
- (c) 1, 2 and 3
- (d) 1 and 3 only

Official Set-A answer: (d).

Solution: An ETF is a tradable financial claim and a currency swap is a contractual financial instrument. A motor vehicle is a real or physical asset. It can secure a loan but collateral status does not turn it into a financial instrument. Detailed fund and derivative mechanics belong to Topic 8.

PYQ 4 - UPSC Prelims 2024, Q51

Question: Consider the following statements:

Statement-I: If the United States of America (USA) were to default on its debt, holders of US Treasury Bonds will not be able to exercise their claims to receive payment.

Statement-II: The USA Government debt is not backed by any hard assets, but only by the faith of the Government.

Which one of the following is correct in respect of the above statements?

- (a) Both Statement-I and Statement-II are correct and Statement-II explains Statement-I
- (b) Both Statement-I and Statement-II are correct, but Statement-II does not explain Statement-I
- (c) Statement-I is correct, but Statement-II is incorrect
- (d) Statement-I is incorrect, but Statement-II is correct

Official Set-A answer: (a).

Solution: Follow the official key: sovereign Treasury debt is supported by the government's full faith and credit rather than a pledge of specified hard assets. The analytical lesson is to distinguish a legal payment promise from collateral that a creditor can seize. This does not mean that a bondholder ceases to hold a contractual claim merely because enforcement against a sovereign is constrained.

PYQ 5 - UPSC Prelims 2025, Q68

Question: Consider the following statements in respect of RTGS and NEFT:

- I. In RTGS, the settlement time is instantaneous while in case of NEFT, it takes some time to settle payments.
- II. In RTGS, the customer is charged for inward transactions while that is not the case for NEFT.
- III. Operating hours for RTGS are restricted on certain days while this is not true for NEFT.

Which of the statements given above is/are correct?

- (a) I only
- (b) I and II
- (c) I and III

- (d) III only

Official Set-A answer: (a) I only.

Solution: RTGS settles each transaction individually in real time, whereas NEFT uses deferred net settlement batches. Inward transactions are not charged to the beneficiary, and both systems operate round the clock. The cross-link is conceptual: payment-system settlement differs from securities-market trade settlement and from DvP.

Historical routed demands - official key unavailable locally

Year and question	Neutral routed demand	Answer status	Learning route
2018 Q56	RBI management of Government securities and Treasury Bills	**Answer withheld pending official UPSC key.**	Sessions 7, 10 and 11
2020 Q54	Non-financial debt components in the Indian economy	**Answer withheld pending official UPSC key.**	Session 12; classify the claim before selecting
2020 Q70	Commercial Paper, call money and bonds as market instruments	**Answer withheld pending official UPSC key.**	Sessions 3 and 6
2021 Q6	Factors influencing Indian Government Bond yields	**Answer withheld pending official UPSC key.**	Sessions 8, 9 and 23
2021 Q13	Government securities, Treasury Bills, NDS-OM and CDSL	**Answer withheld pending official UPSC key.**	Sessions 7, 18 and 19
2022 Q63	Credit-rating agencies: regulation and types in India	**Answer withheld pending official UPSC key.**	Session 13; do not treat rating as a guarantee
2023 Q25	Capital-market versus money-market classification in India	**Answer withheld pending official UPSC key.**	Sessions 1 and 2

ORIGINAL MAINS PRACTICE AND MODEL ANSWERS

The isolated model-answer bodies below are measured with the native alphanumeric-token regex. Question, heading and metadata words are excluded from the count.

M1 - 10 marks - 150 words

Question: Distinguish the money market from the capital market and explain why a developed economy needs both.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (144 native-body words):

Money and capital markets differ chiefly in financing horizon and function. The money market redistributes short-term liquidity through call money, repo, Treasury Bills, Commercial Paper and Certificates of Deposit. It helps banks and firms bridge cash-flow mismatches and transmits monetary conditions. The capital market mobilises medium- and long-term finance through equity, dated Government securities, State Development Loans and corporate bonds.

The distinction is not absolute safety versus risk. A short instrument can default or face rollover stress, while a long sovereign bond can be credit-safe yet price-sensitive. Both primary issuance and secondary liquidity matter: issuance transfers funds to the borrower; trading supplies price discovery and exit.

A developed economy needs an integrated ladder. Money markets stabilise working liquidity, whereas capital markets fund infrastructure, enterprise and public borrowing. Transparent benchmarks and resilient settlement must connect them without allowing leverage or maturity mismatch to transmit shocks.

M2 - 10 marks - 150 words

Question: Explain the inverse bond price-yield relationship and show its importance for monetary transmission.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (130 native-body words):

A fixed-coupon bond promises contractual cash flows. Its price equals their present value discounted at the required yield. When market yield rises, the higher discount rate lowers present value; when yield falls, price rises. A below-par bond can therefore have a current yield above its coupon rate, while yield to maturity also includes redemption gain or loss.

Duration converts this principle into risk measurement: longer-duration bonds show larger price changes for a small yield movement. Convexity makes duration only an approximation.

The mechanism matters for monetary transmission. Expected short rates and liquidity alter the sovereign yield curve, which influences bank funding, corporate-bond pricing and investment valuation. Yet inflation expectations, term premium, bond supply, credit spreads and global conditions may offset policy. The curve is both transmission channel and conditional signal.

M3 - 15 marks - 250 words

Question: Analyse India's regulatory architecture for money and capital markets. Why is a functional rather than slogan-based jurisdiction map necessary?

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (221 native-body words):

India's market architecture divides responsibility by instrument, issuer, maturity, venue and activity. The Reserve Bank of India leads money markets, Government securities, foreign exchange and payment systems under its statutory mandates. It issues directions for call, notice and term money, Certificates of Deposit, Commercial Paper, repo and the Negotiated Dealing System-Order Matching platform. It also manages government borrowing and supervises regulated participants.

The Securities and Exchange Board of India leads public issuance and trading in equity and corporate securities, recognised stock exchanges, clearing corporations, depositories and listed-market conduct. The Companies Act and government borrowing framework add issuer-side rules. Exchanges organise trading, clearing corporations manage counterparty and settlement risk, and depositories maintain electronic ownership records; none should be described as the other.

Functional mapping is necessary because simple formulas fail. `Debt equals RBI` is false: listed corporate bonds fall substantially within SEBI's perimeter, while short-term Commercial Paper is an RBI-regulated money-market instrument. An electronic platform may facilitate an over-the-counter market, and a single transaction can involve a regulator, venue, central counterparty and depository.

Specialisation is the advantage; boundary gaps, inconsistent disclosure and regulatory arbitrage are the risks. Coordination should use activity-based definitions, common identifiers, interoperable data and clear crisis protocols. The aim is complete coverage: issuance integrity, prudential resilience, transparent trading, final settlement, custody and investor remedy each need an accountable owner.

M4 - 15 marks - 250 words

Question: How do clearing corporations, depositories and settlement design support market stability? Discuss their residual risks.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (225 native-body words):

A securities trade is not complete when buyer and seller agree. Clearing validates obligations, netting reduces gross payment needs, settlement exchanges securities and funds, and custody records continuing ownership. Market infrastructure turns this chain into enforceable finality.

A central counterparty, such as CCIL in covered Government-security and repo segments, novates trades and becomes buyer to every seller and seller to every buyer. Margins, collateral, default funds and loss-allocation rules reduce bilateral counterparty uncertainty. Delivery versus Payment links the securities and cash legs, limiting principal risk. Depositories hold securities electronically; under Depositories Act section 10, the depository is registered owner only for transfer, while the investor remains beneficial owner with substantive rights and liabilities.

Shorter settlement reduces replacement exposure and frees collateral sooner. However, speed also compresses the time available for funding, securities delivery, corrections and fraud checks. Central clearing mutualises and manages risk but concentrates dependence on one critical institution. Netting lowers liquidity demand in normal conditions yet a member default can create sudden margin calls. Cyber failure, operational outage, wrong client records and inadequate recovery resources remain possible.

Stability therefore requires more than a fast cycle. Regulators need robust participation standards, transparent margin models, stress testing, segregated client assets, default waterfalls, interoperable records, cyber resilience and tested recovery plans. The correct conclusion is that infrastructure transforms and contains risk; it does not abolish it.

M5 - 20 marks - 250 words

Question: Examine how India's financial instruments and issuance routes connect savers with public and private investment.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (227 native-body words):

Financial markets convert heterogeneous savings into claims suited to different financing needs. Treasury Bills and Cash Management Bills meet short Central Government cash requirements, while dated Government securities and State Development Loans fund longer public obligations. Commercial Paper finances short corporate needs; Certificates of Deposit mobilise negotiable bank funding; corporate bonds create contractual medium- or long-term debt. Equity supplies residual risk capital, and hybrids combine contractual features.

Issuance design determines who receives funds and under what disclosure process. An Initial Public Offer brings an unlisted issuer to the public market; a Further Public Offer is made by an already listed issuer. A rights issue gives existing shareholders a proportionate opportunity. Private placement addresses a selected group, while a Qualified Institutions Placement is a specific listed-issuer route to Qualified Institutional Buyers. Fresh issue must be separated from offer for sale because only the former ordinarily finances the company.

Secondary markets make these claims usable. Liquidity gives exit, price discovery disciplines issuance and the sovereign curve benchmarks other debt. Venues, clearing corporations and depositories complete the chain.

Mobilisation is not automatically productive. Illiquid bonds, weak disclosure, rating dependence, leverage, unsuitable retail sales and infrastructure concentration can amplify risk. Reform should broaden transparent issuance, improve market making, protect beneficial ownership, strengthen settlement and give suitability warnings. The goal is reliable transfer of savings into accountable public and productive private investment.

M6 - 20 marks - 250 words

Question: Financial-market deepening can advance inclusion and monetary transmission, but may also amplify instability. Critically discuss.

Demand plan: define the relevant mechanism, attach named Indian evidence, explain the causal link, then qualify the conclusion with a concrete risk or boundary.

Model answer (207 native-body words):

Market deepening improves inclusion when households and smaller institutions gain transparent, low-cost access. Non-competitive Government-security auctions, RBI Retail Direct, dematerialisation and broker-connected routes reduce barriers. Deeper secondary markets improve exit, while a liquid sovereign curve transmits policy expectations into financing costs. Broader participation diversifies funding beyond bank credit.

However, access is not the same as welfare. Long-duration bonds can suffer large mark-to-market losses when yields rise. Thin corporate debt may display quoted prices without executable liquidity. Faster T+0 settlement reduces open exposure but increases same-day cash and securities readiness. Digital access can magnify mis-selling, leverage, herd behaviour, cyber risk and exclusion of investors with low financial literacy. Central counterparties reduce bilateral risk while concentrating operational and default-management dependence.

Policy must deepen markets with guardrails. Product labels should separate maturity, credit, duration, liquidity and settlement risk. Retail interfaces need suitability prompts, grievance channels and protected ownership records. RBI and SEBI should coordinate, stress-test utilities, monitor leverage and improve issuer disclosure. Market makers can support liquidity, but public backstops should not guarantee prices.

The proper objective is resilient participation: more investors, issuers and instruments combined with truthful price discovery and credible settlement. Inclusion without capability creates vulnerability; stability without access preserves shallow finance. Sequenced deepening must pursue both.